MODULE 5

CASE STUDY

DeepL: The Translator's Dilemma

How a Cologne startup decided to compete with free — and win

Prepare this case before class. Come ready to take a position.

THE SITUATION

DeepL, 2016

Jaroslaw Kutylowski runs Linguee, a successful bilingual dictionary with millions of users. His team has developed neural translation technology that produces demonstrably better translations than Google Translate in blind tests.

But Google Translate is free, has 500M+ users, and is backed by the world's largest AI research team. The question isn't whether DeepL's technology is better — it's whether 'better' matters enough for people to switch.

KEY FACTS

- Linguee: profitable dictionary service
- Neural translation beats Google in blind tests
- Google Translate: 500M+ MAU, free
- Translation market: $40B+ globally
- Enterprise needs: GDPR, data security
- Cologne-based, 30 employees

THE DECISION

How should DeepL position and launch its translation product?

OPTION A

Free consumer product — maximize adoption, monetize later through ads or freemium

OPTION B

Enterprise-first — sell to companies who need GDPR-compliant, high-quality translation

OPTION C

Freemium hybrid — free consumer tier to build brand, paid pro tier for power users

DISCUSSION QUESTIONS

Come prepared to defend your position with evidence from the case.

1. Apply the Value Proposition Canvas: what are the pains and gains of DeepL's target customer?
1. What makes a valid MVP when competing against a free, dominant product?
1. Is 'better quality' a strong enough value proposition? Apply the 10x Value Prop Test.
1. How do you scope an MVP when you already have a working product (Linguee)?